IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CA No/172/CAA/2018

Under section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation
Between
M/s. DSRK HOLDINGS (CHENNAI) PRIVATE LIMITED
(CIN: U45202TN2006PTC060010)
(Transferor Company)
With
M/s. EMBASSY PROPERTY DEVELOPMENT PRIVATE LIMITED
(CIN: U85110KA1996PTC020897)
(Transferee Company)
And
Their Respective Shareholders and its Creditors

Order delivered on: 19.09.2018

Coram:
K. Anantha Padmanabha Swamy, Member (Judicial)
S. Vijayaraghavan, Member (Technical)

For the Applicant/Petitioners: *Shri. P. Sriram, PCS*

ORDER

Per: K. ANANTHA PADMANABHA SWAMY, MEMBER (J)

Under consideration is a Company Application 172/CAA/2018 filed under Section 230 of the companies Act, 2013 read with the companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The purpose of filling the company application is to obtain sanction to the scheme of Amalgamation (in Short, **'Scheme'**) by virtue of which **M/s. DSRK Holdings (Chennai) Private Limited** (hereafter referred to as **'Transferor Company'**) will get merged with **M/s.**

Embassy Property Developers Private Limited (hereafter referred to as **'Transferee Company'**) as a going concern.

"Counsel for the Transferor Company stated that M/s. Embassy Property Developers Private Limited, the Transferee Company, having its registered office ***at 1st Floor, Embassy Point, #150, Infantry Road, Bengaloru-560001 in the State of Karnataka, the same is falling within the jurisdiction of NCLT, Bangalore Bench. Hence, the applications in respect of Transferee have been filed before the NCLT, Bangalore Bench"***

The Applicant/Transferor through this application has prayed for seeking directions for dispensing with the convening, holding and conducting of the meeting of the Equity shareholders and secured and unsecured Trade Creditors.

1. **M/s. DSRK Holdings (Chennai) Private Limited** (Transferor Company)

i) The Transferor Company viz., M/s. DSRK Holdings (Chennai) Private Limited, is a Private Limited Company, it was incorporated under the Companies Act, 1956. There are 4 (Four) equity shareholders of the Transferor Company. The Particulars of said equity shareholders have been punished at page no. 223 and same has been certified by the **M/s. R. Murarka & Co.,** Chartered Accountants is placed as Annexure-11 of the typed set filed with the Application. The consent affidavits given by all the 4 (Four) equity shareholders are placed at pages 224 to 231 of the typed set filed with the Application, wherein it has been deposed that

they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of equity shareholders. Since all the requirements under law have been fulfilled, the meeting of the equity shareholders of the Transferor Company is allowed to be dispensed with.

ii) There are no Secured Creditor in relation to the Transferor Company and certificate issued by **M/s. R. Murarka & Co.,** Chartered Accountants is placed at page 232 of the typed set, filed with the Application as **Annexure-13.**

iii) There are 4 (Four) unsecured Trade Creditors in relation to the Transferor Company. The certificate issued by **M/s. R. Murarka & Co.,** Chartered Accountants is placed at page 233 of the Typed Set, filed with the Application as **Annaexure-14.** Out of 4 (Four) Unsecured Trade Creditors 2 (Two) has given consent affidavits which is placed at page 234 to 237 of the typed set filed with the Application as **Annexure-15.** The value of the consenting Unsecured Trade Creditors constitutes the total amount of Rs. 50,86,350/- as on 31.05.2018. Therefore, the meetings of the Secured and unsecured creditors of the 1st Transferor Company is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

2. Looking to the prayers made in the application by the Transferor in relation to the Scheme of Amalgamation, this Bench hereby directs in term of under clause (5) of the section 230 and under sub-section (3) of the Companies

Act, 2013 issuance of notices to the Regional Director, Ministry of Corporate Affairs, ROC concerned, Income Tax Authorities, Official Liquidator and such other sectorial regulators or authorities, if necessary. In case the scheme is exempted under the Competition Act, 2002, an affidavit to this effect is to be given. Otherwise, notice to CCI may also be issued. Since the Transferor is a Private Limited Company, there is no need to issue notices to SEBI and to the Stock Exchanges. The authorities are directed to make objections/representations, if any, within 30 days from the date of the receipt of notice. In case no objection/representation is received within the stipulated time it shall be deemed that they do not have any objections.

3. In respect of the Transferor Company, the Registry is also directed to issue notice to the Official Liquidator, who in turn, may appoint a Chartered Accountant and submit a report with regard to the Transferee Company within four weeks from the date of receipt of this order.

4. The Transferor Company is directed to make separate publication of notices in newspapers one in English and the other in vernacular language, preferably in **Business Standard (English Edition)** and **Malai Murasu (Tamil Edition)** having wide circulation in the State of Tamil Nadu, not less than 30 days before the next date of hearing of the petition. The Applicant Company is directed to place the notice on their website, if any, and also place the same on the notice board at the registered office of the company. The Applicant Company also directed to send private notice to

the authorities by way of speed post and file the proof of sending and effecting service of notices along with the paper publication by way of an affidavit before the next date of hearing. The Registry is also directed to display the notice on the notice board of the NCLT, Chennai.

5. The petition to be presented on or before 05.11.2018.

S. Vijayaraghavan.

S. Vijayaraghavan
Member (Technical)

K. Anantha Padmanabha Swamy
Member (Judicial)

TJS